INDEX NUMBER

ACCRA TECHNICAL UNIVERSITY

FACULTY OF BUSINESS

DEPARTMENT OF ACCOUNTING AND FINANCE

END OF FIRST SEMESTER EXAMINATION, 2024/2025 ACADEMIC YEAR

COURSE CODE: BAT 213 COURSE TITLE: ACCOUNTING INFORMATION SYSTEMS

INSTRUCTIONS: ANSWER ALL QUESTIONS TIME ALLOWED: 2HRS

EXAMINATION: BTECH LEVEL 200 MORNING

SECTION A

Use scannable answer sheets to answer the questions under Section A by shading the correct answer with a 2B pencil.

1. _____ are the set of procedures and policies adopted within an organization to safeguard its assets, check the accuracy and reliability of its data, promote operational efficiency, and encourage adherence to prescribed managerial practices.
   a. Internal controls
   b. Investment processes
   c. Capital processes
   d. General ledger processes

2. _____ is the organization and control of all materials, funds, and related information in the logistics process, from the acquisition of raw materials to the delivery of finished products to the end user.
   a. Internal controls
   b. Investment processes
   c. Supply chain management
   d. Capital processes

3. IT usage to support business processes accomplishes one or more of the following objectives except.
   a. Increased efficiency of business processes
   b. Reduced cost of business processes
   c. Increased accuracy of the data related to business processes.
   d. None of the above

4. _____ is the purposeful and organized changing of business processes to make them more efficient.

a. Information technology
b. Business process reengineering
c. Supply chain management
d. Capital processes

5. _____ is an integrated collection of enterprise-wide data that generally includes several years of nonvolatile data, used to support management in decision making and planning.
a. data warehouse
b. Random access
c. Sequential access
d. Batch processing

6. _____ contains the data that is continually updated as transactions are processed.
a. data warehouse
b. operational database
c. Random access
d. Sequential access

7. _____ easily fits into rows and columns.
a. Structured data
b. Unstructured data
c. Big data
d. Internet data

8. _____ is the intercompany, computer-to-computer transfer of business documents in a standard business format.
a. Electronic data interchange
b. point of sale system
c. Automated matching
d. Evaluated receipt settlement

. _____ is a system of hardware and software that captures retail sales ansactions by standard bar coding.
a. Electronic data interchange
b. point of sale system
c. Automated matching
d. Evaluated receipt settlement.

_____ is an invoice-less system in which computer hardware and software plete an invoice-less match comparing the purchase order with the goods received.
a. Electronic data interchange
b. point of sale system

c. Automated matching
d. Evaluated receipt settlement.

11. When a company receives returned goods from a customer, the business process to accept the return would most likely be a(n)
a. administrative process
b. conversion process
c. expenditure process
d. revenue process

12. Which of the following is least likely to be an output of the accounting information system?
a. check
b. A report
c. An invoice
d. A bar code

13. Which of the following is not true of the supply chain?
a. The supply chain includes vendors.
b. The supply chain excludes customers.
c. The supply chain includes information flows.
d. The supply chain includes secondary suppliers.

14. Which of the following is not an objective of IT enablement?
a. Increased accuracy of data
b. Reduced cost
c. Reduced security problems
d. Increased efficiency

15. The correct order of the computer data hierarchy is
a. byte, bit, record, field, file, database
b. bit, byte, record, field, file, database
c. bit, byte, field, record, file, database
d. bit, byte, field, record, database, file

16. The process of searching for identifiable patterns in data is called
a. sequential processing
b. data warehousing
c. data mining
d. real-time processing

17. An IT-enabled system for purchasing that is an "invoice-less" system is called a(n)
a. automated matching system
b. evaluated receipt settlement.

c. e-payables
d. point of sale system

18. The COSO report written for the purpose of assisting managers in the challenge of managing risk in their organizations is entitled
a. "Internal Controls—Integrated Framework"
b. "Enterprise Risk Management—Integrated Framework"
c. "Corporate Governance Guidance"
d. "IT Governance Guidance"

19. Accountants have some form of use of the AIS in all but which role?
a. User
b. Programmer
c. Auditor
d. Designer

20. Which of the following is not true of unethical behavior?
a. The only category of unethical behavior for accountants is inflating revenue.
b. Accountants are often pressured to help commit or cover up unethical behavior.
c. Hacking is an unethical behavior that accountants should be concerned about.
d. An accounting information system can be used to cover up unethical behavior.

21. Which of the following statements is not true?
a. Accounting information systems must maintain both detail and summary information.
b. Business processes may vary from company to company.
c. Regardless of the extent of computerization, all accounting information systems must capture data from the transactions within business processes.
d. Business processes categorized as expenditure processes are not intended to be processes that serve customers.

22. In a manual system, an adjusting entry would most likely be initially recorded in a
a. special journal
b. subsidiary ledger
c. general journal
d. general ledger

3. Which of the following is not a disadvantage of maintaining legacy systems?
a. There are fewer programmers available to support and maintain legacy systems.
b. They contain invaluable historical data that may be difficult to integrate into newer systems.
c. Hardware or hardware parts may be unavailable for legacy systems.
d. It can be difficult to integrate various legacy systems into an integrated whole.

24. Which of the following is not an advantage of cloud computing when compared to client–server computing?
a. It is more scalable.
b. It is less costly.
c. It increases the amount of computer infrastructure in a company.
d. It has expanded availability.

25. Which of the following is a disadvantage of purchased accounting software, compared with software developed in-house?
a. It is custom-designed for that company.
b. It is less costly.
c. The implementation time is shorter.
d. There are fewer bugs.

2.6. Which of the following is not a method of updating legacy systems?
a. Enterprise application integration
b. Backoffice ware
c. Screen scraper
d. Complete replacement

27. When categorizing the accounting software market, a company with revenue of $8 million would most likely purchase software from which segment?
a. Small company
b. Midmarket
c. Beginning ERP
d. Tier 1 ERP

28. An IT system that uses touch-screen cash registers as an input method is called
a. electronic data interchange
b. e-business
c. point of sale system
d. source documents and keying

29. When similar transactions are grouped together for a specified time for processing, it is called
a. online processing
b. real-time processing
c. batch processing
d. group processing

30. In documenting systems, which pictorial method is described as a method that diagrams the actual flow and sequence of events?
a. System flowchart
b. Process map

c. Data flow diagram
d. Entity relationship diagram

31. What is a data warehouse?
A. A collection of transactional data
B. An integrated collection of enterprise-wide data
C. A database that is updated in real-time
D. A database that only contains unstructured data

2. What is the difference between a data warehouse and an operational database?
A. A data warehouse contains only unstructured data, while an operational database contains only structured data.
B. A data warehouse is used for data mining, while an operational database is used for day-to-day operations.
C. A data warehouse contains data for the current fiscal year, while an operational database contains data for many fiscal periods.
D. A data warehouse is updated continuously, while an operational database is only updated periodically.

What type of data is stored in a data warehouse?
A. Nonvolatile data
B. Volatile data
C. Structured data
D. Unstructured data

How long is data typically stored in a data warehouse?
A. 1-2 years
B. 3-4 years
C. 5-10 years
D. 10-15 years

What is data mining?
A. The process of updating a data warehouse with new data
B. The process of searching data within the data warehouse for identifiable patterns
C. The process of deleting old data from a data warehouse
D. The process of organizing data in a data warehouse

What is the most popular use of data mining?
A. To predict the future buying behavior of customers
B. To analyze current sales trends
C. To store unstructured data
D. To analyze financial data

37. What is a computer network?
A. A group of computer users
B. A single computer system
C. Two or more computers linked together to share information and/or resources
D. A system of computer programs

38. Which of the following is not one of the most important types of computer networks for accounting information systems?
A. Local area network (LAN)
B. Internet
C. Extranet
D. Wide area network (WAN)

39. What is EDI?
A) A system of hardware and software that captures retail sales transactions by standard bar coding
B) A company's private network accessible only to its employees
C) The intercompany, computer-to-computer transfer of business documents in a standard business format
D) The use of shared services, software, and/or data stored on servers at a remote location

40. What is a point of sale system (POS)?
A) A company's private network accessible only to its employees
B) A type of computer network that spans a relatively small area
C) The global computer network, or "information super-highway"
D) A system of hardware and software that captures retail sales transactions by standard bar coding

41. What is the purpose of a code of ethics and internal controls in an organization?
A. To increase profits
B. To reduce employee turnover
C. To protect and accurately record assets and funds
D. To eliminate competition

42. What is the ethical duty of managers in an organization?
A. To increase employee salaries
B. To appropriately protect and use assets and funds
C. To eliminate competition
D. To increase the number of customers

43. What is the relationship between properly enforced codes of ethics and internal controls and fraud and errors?
A. They have no relationship

B. They increase the likelihood of fraud and errors
C. They decrease the likelihood of fraud and errors
D. They have no effect on fraud and errors

4. What is the nature of management fraud?
A. It involves theft or misuse of assets by non-management employees
B. It involves fraudulent financial statements by upper-level managers
C. It occurs when customers engage in credit card fraud
D. It involves requesting fictitious or duplicate payments by vendors

5. What is the nature of employee fraud?
A. It involves fraudulent financial statements by upper-level managers
B. It involves theft or misuse of assets by non-management employees
C. It occurs when customers engage in credit card fraud
D. It involves requesting fictitious or duplicate payments by vendors

What is the nature of customer fraud?
A. It involves fraudulent financial statements by upper-level managers
B. It involves theft or misuse of assets by non-management employees
C. It occurs when customers engage in credit card fraud
D. It involves requesting fictitious or duplicate payments by vendors

What is the nature of vendor fraud?
A. It involves fraudulent financial statements by upper-level managers
B. It involves theft or misuse of assets by non-management employees
C. It occurs when customers engage in credit card fraud
D. It involves requesting fictitious or duplicate payments by vendors

What can internal controls do to assist in the prevention or detection of computer fraud?
A. Nothing, as computers are too complex to be controlled
B. They can assist in the prevention or detection of some computer fraud
C. They can prevent all computer fraud
D. They can detect all computer fraud

What are the three sets of policies that an organization can institute to help prevent or detect d, errors, and ethical violations?
A. Sales policies, marketing policies, and accounting policies
B. Implementation and maintenance of a code of ethics, accounting internal controls, and IT controls
C. Hiring policies, salary policies, and training policies
D. Employee benefits policies, performance evaluation policies, and diversity policies

What are examples of hardware and software risks or exposures in IT systems?

A) Use of public cloud computing and electronic data interchange (EDI) systems
B) Wireless networks and telecommuting workers
C) Shut down or unusable systems and virus or worm infections
D) Altered, deleted, or stolen data and application software

51. What is the main objective of general controls in IT systems?
A) To prevent unauthorized access and hacking
B) To ensure that output is properly distributed and disposed of
C) To ensure that processing is complete, accurate, timely, and authorized
D) To lessen various risk areas such as unauthorized access and disruption to business continuity

52. What is the purpose of output controls in application software?
A) To prevent, detect, or correct errors during data input
B) To ensure that processing is complete, accurate, timely, and authorized
C) To ensure that output is properly distributed and disposed of
D) To prevent unauthorized access to the system

53. What is the main risk category associated with public cloud computing?
A) Unauthorized access
B) Virus or worm infections
C) Hardware and software exposures
D) Ethical issues

54. What is the most important area of knowledge regarding threats and risks to IT systems?
A) Hardware and software exposures
B) General controls and application controls
C) System security and system availability
D) Recognition of how controls can be used to reduce risks to IT systems

55. Which of the following is a risk associated with hardware and software exposures in IT systems?
A) Unauthorized access
B) Hacking and other network break-ins
C) Virus or worm infections
D) Threats in the physical environment

56. Which of the following is an example of processing controls in IT systems?
A) Preventing, detecting, or correcting errors during data input
B) Ensuring that output is properly distributed and disposed of
C) Ensuring that the system is protected against unauthorized access
D) Ensuring accurate and complete processing

57. Which of the following is a Trust Services Principle objective for IT controls?
A) Confidentiality
B) Hacking prevention
C) Physical security of the system
D) Disruption to business continuity

58. What is IT governance?
A) A systematic approach to changing or upgrading an IT system
B) The evaluation of long-term strategic objectives and the prioritization of IT systems
C) The responsibility of the board of directors and top-level executive managers to ensure that the organization has processes that align IT systems to the strategies and objectives of the organization
D) The regular, ongoing functioning of the IT system and the processes to fix small problems, or "bugs," in the IT system

59. What is the purpose of the system development life cycle (SDLC)?
A) To monitor and control security, availability, acquisition, implementation, and maintenance of IT systems
B) To continually assess the fit of IT systems to long-term strategy and short-run goals of the organization
C) To assist management in ensuring that it maintains accurate and complete accounting records and accounting reports
D) To provide a systematic approach to changing or upgrading an IT system

60. What are the five phases of the SDLC?
A) Systems planning, systems analysis, systems design, systems implementation, and operation and maintenance
B) Strategy planning, analysis, design, implementation, and maintenance
C) Feasibility study, analysis, design, implementation, and operation and maintenance
D) Strategic planning, tactical planning, analysis, design, and implementation

SECTION B

1. Discuss the importance of Accounting Information Systems to Accountants. (8 marks)
2. Briefly discuss Information Technology (IT) governance. (8 marks)
3. a. Distinguish between data warehouse and operational database. (8 marks)
   b. Explain data mining. (6marks)

analysing, evaluating and extracting valuable information from a data